

March 31, 2023, to promote financial independence of women as a special two-year scheme till March 2025.

But in recent years, a combination of factors has somewhat reduced their attractiveness for small investors. However, with volatility in equity markets and commodities, experts say that small saving schemes continue to hold ground. This is evident in the net inflows to small savings, which are then pooled into the National Small Savings Fund (See graphic: Net inflows to small savings). The net collections from the NSSF are invested in Central and State Government Special Securities as well as in various public agencies to help the Centre and states bridge their fiscal deficit.

A ROBUST INSTRUMENT

Economists highlight the role of small savings in promoting domestic household savings that have played a significant role as the primary source of capital formation in the country needed for investments across the economy. The decline in household savings has been a matter of debate in recent years and within that of small savings, a further concern. Household savings are estimated at ₹69 lakh crore in FY25, amounting to 62.1% of GDP. In absolute terms, household savings were seen at a lower level of ₹52.25 lakh crore in FY23 but amounted to a larger share of the GDP at 67.2%.

D.K. Srivastava, Chief Policy Advisor, EY India sums up this trend and points out that the share of small savings in gross domestic savings has been declining in recent years—from 3.9% of total gross domestic savings in FY23 and 4.4% in FY24 to 3.1% in FY25. “As an instrument of savings, small savings have become less attractive for households,” he says, adding that the share

SMALL SAVINGS RETURNS

• Example of investment into PPF: ₹1.5 lakh invested annually with an average interest rate of 7.1%

INVESTED AMOUNT	TIME PERIOD	TOTAL INTEREST	MATURITY AMOUNT
₹22.5 lakh	15 years	₹18.18 lakh	₹40.68 lakh
₹30 lakh	20 years	₹36.58 lakh	₹66.58 lakh
₹45 lakh	30 years	₹1.09 crore	₹1.54 crore

SOURCE GROWW.IN

A PREFERRED CHOICE?

- 1 Small saving schemes like the PPF, Sukanya Samriddhi Yojana, and NSC continue to get steady investments
- 2 Inflows have been volatile in recent years, but have picked up as other options like equities have been affected by geopolitical turbulence
- 3 Experts highlight that small savings offer robust returns, some tax benefits and are backed by the government
- 4 They can be part of a person’s debt allocation in the investment portfolio
- 5 Loans against NSSF collections also help the Centre and states finance fiscal deficits



of small savings in financing the fiscal deficit has also gone down in recent years and the government is relying more on market borrowings.

The General Secretary of the Hind Mazdoor Sabha, a major national trade union federation, Harbhajan Singh Sidhu, points out that the EPFO continues to provide a robust interest rate of 8.25%. Sidhu, who is also a member of the Central Board of Trustees of the EPFO underscores, “If interest rates don’t remain attractive for borrowers, like what has happened with fixed deposits, it will ultimately impact domestic savings, which are necessary for the economy”.

Small savings slowly started to lose favour as the